LoanReady: Usage Guide

Everything you need to install, run and use LoanReady, step by step.

This guide assumes no prior knowledge of the project. Follow the parts in order the first time; after that, jump to what you need from the contents. Every button name below is written exactly as it appears on screen, in **bold**.

> **Everything in LoanReady is pretend.** The business (Rina's Bakery), its customers, suppliers, invoices and bank account are made up. Payments, messages and loan applications go to a built-in simulator, never to a real bank, person or lender. You cannot lose real money with it.

Contents

1. What LoanReady is, in two minutes
2. Before you start
3. Install (one time)
4. Start LoanReady
5. Find your way around the screen
6. The pages, one by one
7. The approval dialog
8. Walk through the whole story (the demo script)
9. Run the story without the screen (headless demo, evidence, documents)
10. Turn on AI: local model and OpenAI
11. Everyday tasks and settings
12. Command reference
13. Troubleshooting
14. Frequently asked questions
15. Glossary

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1. What LoanReady is, in two minutes

LoanReady is a finance assistant for a small business owner. It does five things:

#	It…	So the owner…
1	Reads the till (POS), the bank account and receipts, and turns them into proper books	sees profit, cash and what is owed, without a bookkeeper
2	Forecasts cash for the next 13 weeks, with a low, a likely and a high case	sees a cash shortfall weeks before it happens
3	Plans how to close the shortfall, cheapest option first: chase customers who owe money, then delay a bill that allows it, then borrow only what is left	does not borrow more, or more expensively, than needed
4	Compares borrowing options by their true yearly cost	is not fooled by expensive offers that look cheap
5	Prepares a lender-ready application pack (a PDF)	can apply for proper credit

Safety in one sentence: LoanReady may suggest and prepare anything, but nothing leaves it (no payment, no message, no application) until **you** approve it in a dialog that shows exactly what will happen, and every attempt, allowed or blocked, is written to a log that cannot be edited.

The demo business is **Rina's Bakery**, and the business date is **14 October 2026** (shown as **AS_OF 2026-10-14**). LoanReady always works "as of" that date, so the story is the same every time you run it.

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2. Before you start

2.1 What your computer needs

Need	Minimum	Notes
Operating system	Windows 10/11, Linux or macOS	Tested on Windows 11 and Linux Mint
Python	**3.12** exactly	3.11 or 3.13 will be refused by the setup check
Disk space	about 1 GB	620 MB is the Python packages LoanReady installs for itself
Memory	4 GB free	8 GB+ if you also run a local AI model
Internet	only for the first install	and for OpenAI, if you choose to use it
Browser	any modern browser	Chrome, Edge, Firefox, Safari

You do **not** need: an AI model, an OpenAI account, OCR software, a database server or any bank account. LoanReady runs fully without them.

2.2 Check Python 3.12

Open a terminal (Windows: **PowerShell**; Linux/macOS: **Terminal**) and type:

Windows:

```
py -3.12 --version
```

Linux / macOS:

```
python3.12 --version
```

You should see `Python 3.12.x`. If you see "not found", install Python 3.12 from python.org (Windows: tick **Add python.exe to PATH** during installation) or with your Linux package manager, then try again.

2.3 Where to put the project folder

Put the `loanready` folder at a short path **without spaces**, for example:

- Windows: `C:\dev\loanready`
- Linux: `/opt/loanready` or `~/loanready`

On Windows, **do not** put it inside a OneDrive-synced folder (Desktop or Documents are often synced): OneDrive locks files and breaks the database.

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3. Install (one time)

All commands are typed in a terminal **inside the project folder** (the folder that contains `tasks.py`). Change into it first:

Windows:

```
cd C:\dev\loanready
```

Linux / macOS:

```
cd /opt/loanready
```

Step 1. Create LoanReady's own Python environment

Windows:

```
py -3.12 tasks.py setup
```

Linux / macOS:

```
python3.12 tasks.py setup
```

This creates a folder called `.venv` and installs exactly the packages LoanReady needs. It takes 2-5 minutes and prints a long list of packages. It ends with a line like `var: …/var`.

> From now on you can type `python tasks.py …` (Windows: `py -3.12 tasks.py …` also works). LoanReady automatically switches into its own environment; you never need to "activate" anything.

Step 2. Check the installation

```
python tasks.py doctor
```

You should see a list where every row marked **MUST** says **OK**, ending with `doctor: all MUST checks OK`. Rows marked INFO (Tesseract, OpenAI key) are optional.

Step 3. Create your settings file

Windows (PowerShell):

```
copy .env.example .env
```

Linux / macOS:

```
cp .env.example .env
```

`.env` holds your local settings. The defaults work as they are: AI in "mock" mode (no model needed) and the simulator running inside LoanReady.

Step 4 (optional). Run the tests

```
python tasks.py test
```

About 2 minutes. It should end with something like `719 passed, 4 skipped`. The skipped tests are features that are deliberately not built; that is normal.

Installation is done.

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4. Start LoanReady

Step 1. Load the bakery's data

```
python tasks.py seed
```

The first time, this also generates the bakery's six months of records (about 10 s). It then loads everything into the simulator and the books (about 25 s) and prints a summary like:

```
  cash (1000+1010)   $2,400.40
  confirm queue      6
  untrusted flags    3
  receipt receipt_blurry.png: NEEDS_CONFIRMATION
  ...
```

Step 2. Start the screen

```
python tasks.py ui
```

The first time, Streamlit (the screen toolkit) may ask for an e-mail address in the terminal: just press **Enter** to skip. When you see `Local URL: http://127.0.0.1:8501`, open that address in your browser. Keep the terminal open: closing it stops LoanReady.

Step 3. Stop LoanReady

Click in the terminal and press **Ctrl + C**.

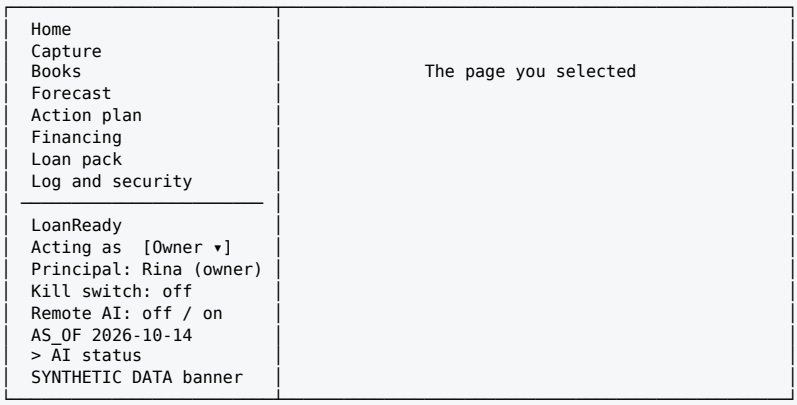
> **Tip: one command for both steps.** `python tasks.py run` seeds the data if there is none yet and then starts the screen.

> **Important:** if you run `tasks.py seed` again while the screen is open, restart the screen afterwards (Ctrl + C, then `python tasks.py ui`). Seeding replaces the database underneath the running screen.

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5. Find your way around the screen

5.1 The layout



The **left sidebar** is the same on every page. Click a page name at the top to open it.

5.2 The sidebar items

Item	What it means	What you can do
Acting as	Who you are pretending to be: **Owner** (Rina) or **Bookkeeper**	Switch roles to see what each may do. The bookkeeper cannot approve payments or change limits
Principal	The name the audit log records for your actions	—
Kill switch: off / ON	Emergency stop. When ON, nothing can be sent or paid	The owner changes it on **Log and security**
Remote AI: off / on	Whether some tasks may use OpenAI	Set in `.env` (see §10)
AS_OF 2026-10-14	The business date everything is calculated for	—
AI status (click to open)	AI mode, which AI backends are available, models, remote calls today and the budget, and which backend each task uses	—
Synthetic data banner	Reminder that all data is made up	—

5.3 Things that behave the same everywhere

- **Wait after clicking.** After any button that changes something, the page greys out for 5-10 seconds while LoanReady recalculates the books, forecast and plan. Wait until it is clear again before clicking the next thing.
- **Green, yellow and red messages** appear at the top of the page after an action: green = done, yellow = warning or blocked, red = error. They explain what happened in plain language and give the log number (for example `log #46`).

- **Money** is always shown as `$1,234.56`. Every number is calculated by LoanReady's code; the AI never calculates money.
- **"Tier" badges**: *Tier 1: draft only, nothing is sent* means the button only prepares something; *Tier 2: needs your approval* means the button creates a request you must approve before anything leaves LoanReady.
- **Use the sidebar to change pages.** Typing an address in the browser bar reloads LoanReady and forgets screen-only details such as the last generated loan pack (your data is kept).

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6. The pages, one by one

6.1 Home (the dashboard)

What you see: eight tiles.

Tile	Meaning	At the start of the demo
Cash today	Money in the bank plus the till, according to the books	$2,400.40
Base case first negative week	The week the likely forecast drops below zero	week 3
Recommended gap to cover	How much cash to find, including a safety buffer	about $6,000
Readiness score	How ready the business looks to a lender, 0-100	72 / 100
Pending approvals	Requests waiting for you	0
Confirm queue	Items LoanReady needs you to decide	6
Blocked attempts	Actions the safety gate refused	0
Audit chain	Whether the log is untampered	intact

If there are pending approvals, a **Go to the approval queue** link appears. The **Run Rina story** button is greyed out on purpose: the guided demo is not built; use the pages instead (or the headless demo, §9).

6.2 Capture

This page brings records in and asks you about anything unclear.

Import records → Sync POS and bank. Pulls new till sales and bank transactions from the simulator, files them and posts the books. After seeding everything is already imported, so a sync finds nothing new; it

is useful after new activity (for example after a payment you approved). The result line says how many lines were read, posted and flagged.

Upload a receipt. Click **Upload** (or drag a file onto the box), then click **Read receipt**. LoanReady shows the vendor, total, date, a confidence score and the text it read. If the receipt contains text that looks like an instruction (for example "ignore previous instructions"), a yellow box says it was **ignored**, and shows the text in a grey code box, never as a command.

> In this version receipts are read from a text file stored next to each demo image (`data/receipts/*.ocr.json`). The four demo receipts work; a new photo without such a file cannot be read and will ask you to confirm it.

Confirm queue. Each card is one question for you. The suggested answer is marked **(proposed)**; click the answer you want.

Card	Example	What the buttons do
Personal expense?	*Is 'FRESHMART SUPERSTORE' ($86.40) a personal expense?*	**PERSONAL (proposed)** files it as the owner's own spending (not a business cost); **6900** files it as a business "other expense"
Duplicate?	*'PRINT SHOP PROMO' ($120.00) looks like a repeat of …*	**duplicate_claim_refund (proposed)**: you were charged twice, and the money is recorded as owed back to you; **genuine_second_purchase**: it really was two purchases
Which account?	*Which account is 'CUSTOMER DEPOSIT …' ($45.00)?*	pick the account; the proposed one is LoanReady's best guess
Receipt check	*Please check this receipt: GRAIN DEPOT WHOLESALE, total $31.60*	**confirm** accepts what was read; **reject** discards it

Each click takes 5-10 seconds, then the card disappears and a green "Confirmed …" message appears. Rina's queue starts with six cards: three personal expenses, one duplicate, one unclear deposit and one blurry receipt.

Ignored instructions found in documents. A list of every place where LoanReady found text that tried to give it orders (in a bank memo, a till note, a bill and a receipt). They were all ignored and logged; nothing was done because of them.

6.3 Books

Six tabs. Every tab says which accounting framework is used (IFRS for SMEs by default).

Tab	What it shows	How to read it
Journal	Every bookkeeping entry (5,000+ for Rina)	Type in **Filter** to search by memo, account number or entry id
P&L	Profit and loss by month: sales, cost of goods, gross profit, expenses, net profit	The last line under the table gives the net profit for the period
Cash flow	Where cash came from and went, by month, split into operating, investing and financing	Opening cash + the three totals = closing cash
Balance sheet	What the business owns and owes at AS_OF	Total assets = total liabilities + total equity
Reconciliation	Whether the books agree with the bank	Before you clear the confirm queue the books are $200.40 above the bank, and every difference is listed; after clearing it you see **Reconciled** ✓, 100% matched, ledger $1,900.00 = bank $1,900.00
Receivables	Who owes money and for how long (buckets: current, 1-30, 31-60, 61-90, 90+ days)	Cafe Lumen's $600.00 invoice sits in 61-90 days

6.4 Forecast

What you see, from top to bottom:

1. Three tiles: **Low case**, **Base case**, **High case**, each saying the week cash first goes below zero (or "stays above zero"). Hover for the lowest amount.
2. A chart: the base line with a shaded band from low to high, a zero line and a marker at the week the base case goes negative. Open **Chart as a table** for the numbers.
3. **Why**: a short explanation of the shortfall. When AI is on it is marked *AI-generated explanation of figures calculated by LoanReady*; every figure in it is checked against LoanReady's own numbers before it is shown.
4. **Largest outflows** in the critical week (for Rina: BILL-2207 Golden Mills $6,500.00, rent, ingredients) and **Customer payments expected late** (INV-1043, INV-1051 and others).
5. The gap to cover and for how long (Rina: $6,200.00 recommended, about 49 days).
6. **Based on assumptions** (click to open): every assumption behind each case, in words.

7. **Excluded pending verification**: bills left out of the forecast because they look fraudulent. For Rina: **BILL-2211**, which asks to be paid to a different bank account than the one on file.
8. **Weekly detail**: choose **Base**, **Low** or **High** to see all 13 weeks line by line.

> The forecast is a range, not a promise. The low and high cases show how bad or good it could reasonably get.

6.5 Action plan

This is where you act on the forecast.

Closing the cash gap, cheapest lever first. Three boxes:

Box	Meaning	Rina
1. COLLECT what customers owe	Overdue invoices to chase (free)	closes $3,200.00 (INV-1043, INV-1051)
2. DELAY bills that allow it	Bills with no late fee and a grace period, moved within it (free)	closes $600.00 (BoxCo BILL-2215)
3. BORROW the rest, cheapest first	What is left goes to the Financing page	$1,000.00

Drafts (Tier 1: nothing is sent until you approve).

1. Click **Draft payment reminders**. One draft appears per overdue invoice. Each shows the recipient (partly hidden, for example `a***@bright-events.test`), the channel (EMAIL or SMS), a label saying whether AI helped write it, and the subject.
2. Click **Preview message** to read the full text. LoanReady has already checked it: the invoice number, amount and due date are correct, and it contains no other amounts, links, bank details, phone numbers or threats. If an AI wording failed that check, the standard template is used instead.
3. Click **Propose sending** under a draft. This does **not** send it: it creates an approval request in the queue below.
4. **Draft delay requests** works the same way for bills you can delay.

After sending, the draft shows **Sent. Sandbox reference: msg_…**.

Approval queue (Tier 2). Every request waiting for approval, with a **Review and approve** button that opens the approval dialog.

Pay a supplier bill.

1. In **Open bill**, choose a bill. Each entry shows the bill number, the amount still owed and the due date (for example *BILL-2190, $900.00 due 2026-10-16*). To pay a bill that is not in the list, choose **Type a bill id** and type its id in **Bill id (if not in the list)**.
2. Choose a **Value date** (the day the payment should go out; not before AS_OF).
3. Click **Propose payment**. LoanReady checks the bill and the supplier's bank account on file. If everything is fine, a request appears in the approval queue; if not, a yellow **Blocked** message explains why.

> You never type an amount or a bank account. LoanReady always pays the amount still owed, to the account it already has on file for that supplier. This is what stops fake invoices: BILL-2211 asks for payment to a new account, so it is blocked with "*The bill asks for payment to a different bank account than the one we have on file for this supplier. Call the supplier on a known number to verify.*"

6.6 Financing

A red-bordered note at the top: *LoanReady compares costs. It does not lend or arrange loans. Not financial advice.*

1. **Amount needed** and **Term (days)** are pre-filled from the action plan (Rina: $1,000.00 for 49 days). Change them and click **Compare** to try other amounts.
2. **The table** lists seven example products (all fictional) sorted by true yearly cost (**EAR**), with the nominal rate (**APR**) beside it, total cost in dollars, term and eligibility. Products the request does not qualify for are marked ineligible with the reason (for example "below the product minimum").
3. A green line names the **cheapest** option and a red line the **most expensive**. For Rina: Golden Mills 30-day trade credit at 0.00%, and the merchant cash advance at about 1,750% a year.
4. A blue note explains the merchant cash advance: it charges a fixed fee (a "factor" of 1.20 means repaying 1.20 times the amount) taken from daily card sales, which over a short time is extremely expensive per year.
5. **Explanation**: a plain-language summary (AI-labelled when AI wrote it; numbers checked).
6. **Disclosures**: click any product to see funding provided, finance charge, total repayment, APR and EAR, number and size of payments, prepayment and collateral notes.

7. **Loan readiness**: a gauge and a score out of 100 with a band (LOW, FAIR, GOOD), a table of the seven parts of the score, and **How to improve**: concrete steps with the points each would add (for example "Collect $3,750.00 of overdue invoices: +5.6 points"). The score uses business data only and is not a credit score.

> **EAR vs APR.** APR is the daily cost × 365. EAR also counts the effect of repaying and re-borrowing ("compounding"), so it is the fairer way to compare short, expensive credit. LoanReady ranks by EAR.

6.7 Loan pack

1. Check **Requested amount**, **Term (days)** and **Purpose** (pre-filled), then click **Generate pack**. This is Tier 1: it only creates a PDF on your computer.
2. The **Summary** shows the requested amount, accounting framework, AS_OF, business name, the 13 sections in the pack, the pack id and its fingerprint (SHA-256).
3. Click **Download loan pack PDF** to save and open it. Every page is marked *SYNTHETIC DATA — PROTOTYPE — NOT A REAL APPLICATION*.
4. Under **Submit to the pretend lender** (Tier 2), click **Submit to lender**, then **Review and approve**, then **Approve and execute** in the dialog.
5. **Lender receipt** appears: a receipt id (`rcv_…`), the lender's status (*received_under_review*) and any missing sections (*none*).

> If the PDF is changed after you generate it, the submission is blocked (`PACK_HASH_MISMATCH`). Generate it again. LoanReady never accepts a loan; that action is permanently blocked.

6.8 Log and security

Audit log (hash-chained, append only). Every decision LoanReady has made, newest first: allowed, drafted, pending, approved, rejected, blocked, executed, failed and security events.

- **Filter by decision**: choose one or more types (for example BLOCKED) to narrow the list.
- **Verify chain**: recomputes every row's fingerprint. Expected: *Chain intact: every row hash checks out (N rows).* If anyone had edited a row, this would say where.

- **Export CSV**, then **Download action_log.csv**: the full log as a spreadsheet file.

Limits and kill switch.

- A gauge and bar show **Paid today vs per-day cap**, and the four limits: per action (5,000.00), *perday*(10,000.00), per payee per week ($8,000.00), messages per customer per week (2).
- **Kill switch (stops every send and payment)**: owner only. Turn it on and every send, payment and submission is refused until you turn it off.
- **Edit limits (owner only)**: change a limit and click **Save limits**. Each change is logged.

Try a blocked action. Four buttons ask LoanReady to do things it must never do: **ACCEPT_LOAN** (accept a loan offer), **CHANGE_LIMITS** (raise the daily payment limit without the owner's form), **PAY_NEW_PAYEE** (pay someone never seen before) and **DISABLE_GATE** (turn off the safety gate). Click **Try it**: each one is refused with a yellow message and appears in the log as BLOCKED. This proves the rules hold.

Tier table / Controls. Two tabs: every action type with its tier and safeguards, and every security control with the rules it is designed around. Both are produced from the code.

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7. The approval dialog

Every Tier 2 action (sending a reminder or delay request, paying a supplier, cancelling a payment, submitting the loan pack) opens this window when you click **Review and approve**.

Field	What to check
Action type and tier	for example SEND_REMINDER or SCHEDULE_SUPPLIER_PAYMENT, *Tier 2: needs your approval*
Amount	the exact amount (invoice amount for a reminder; amount owed for a payment)
Payee / recipient	who receives it
Account	where it goes, partly hidden (for example `****2277` or `a***@…`)
Reason	for example *Pay BILL-2190 to Golden Mills*
Sandbox target	which simulated service will receive it (for example *MockBank POST /bank/payments/schedule*)
Cap usage today and **Per-action cap**	how much of today's limit is used

Field	What to check
Warnings (yellow)	for example *First payment to this payee in 30 days*
Validity (blue)	*This approval is valid for 15 minutes and only for exactly these details.*

Then either:

- **Approve and execute**: LoanReady re-checks everything and performs the action in the simulator. A green message gives the reference (for example *Executed in the sandbox. Reference: pay_…*).
- **Reject** (optionally type a **Rejection note** first): nothing happens; the rejection is logged.

To change anything (amount, recipient, text), reject and create a new request: an approval covers exactly the details shown and nothing else. If you are acting as **Bookkeeper**, the **Approve and execute** button is disabled for payments (only the owner may approve them), and a red line explains why.

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8. Walk through the whole story (the demo script)

About 15 minutes. Start from fresh data: stop the screen, run `python tasks.py seed`, then `python tasks.py ui`. Stay as **Owner**.

#	Page	Do this	You should see
1	Home	Look at the tiles	Cash $2,400.40, negative in week 3, confirm queue 6, chain intact
2	Capture	In **Confirm queue**, click **PERSONAL (proposed)** on the three personal-expense cards (Freshmart, Cineplex, mobile top-up), one at a time, waiting for each	Each card disappears with a green "Confirmed … as PERSONAL"
3	Capture	Click **duplicate_claim_refund (proposed)** on the print-shop card	Card disappears
4	Capture	Click **6900 (proposed)** on the customer-deposit card	Card disappears; only the blurry receipt is left (leave it, as in the story)
5	Capture	Scroll to **Ignored instructions found in documents**	Four warnings: POS, bank, bill, receipt
6	Books → Reconciliation	Open the tab	**Reconciled** ✓, 100% matched, ledger $1,900.00 = bank $1,900.00
7	Forecast	Read the page	Base case below zero in week 3; largest outflow BILL-2207 (Golden Mills) $6,500.00; BILL-2211 listed under *Excluded pending verification*

#	Page	Do this	You should see
8	Action plan	Click **Draft payment reminders**	"2 reminder draft(s) created": INV-1043 and INV-1051
9	Action plan	Under the first draft click **Propose sending**, then **Review and approve**, check the dialog, click **Approve and execute**	"Executed in the sandbox. Reference: msg_..."; the draft shows **Sent**
10	Action plan	Repeat step 9 for the second reminder	Sent
11	Action plan	Click **Draft delay requests**, then propose, review and approve it	The BoxCo delay request is sent
12	Action plan	**Pay a supplier bill**: choose **BILL-2211**, click **Propose payment**	Yellow **Blocked** with the *different bank account* explanation (ACCOUNT_CHANGED)
13	Action plan	Choose **BILL-2190, $900.00**, click **Propose payment**, then **Review and approve**	Dialog: $900.00 to Golden Mills, account ****2277, warning *First payment to this payee in 30 days*
14	Action plan	Click **Approve and execute**	"Executed in the sandbox. Reference: pay_..."
15	Financing	Read the comparison	$1,000.00 for 49 days; cheapest Golden Mills 30-day trade credit (0.00%); most expensive merchant cash advance; readiness 86 / 100 GOOD
16	Loan pack	Click **Generate pack**, then **Download loan pack PDF** and open it	A multi-page PDF with 13 sections and the synthetic-data banner
17	Loan pack	**Submit to lender** → **Review and approve** → **Approve and execute**	Lender receipt `rcv_…`, status *received_under_review*, missing sections *none*
18	Log and security	Under **Try a blocked action**, click **Try it** under **ACCEPT_LOAN**	Yellow refusal: this kind of action is never allowed
19	Log and security	Click **Verify chain**	*Chain intact: every row hash checks out*
20	Log and security	Click **Export CSV**, then **Download action_log.csv**	A spreadsheet of every decision, including the blocked ones

Optional extras: switch **Acting as** to **Bookkeeper** and open a payment approval (the approve button is disabled); turn the **Kill switch** on and try to send a reminder (blocked), then turn it off again.

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9. Run the story without the screen

These commands are how the evidence for judges is produced. They always use the built-in mock AI (free and identical every run), whatever `.env` says.

9.1 The headless demo

```
python tasks.py demo
```

Plays all ten steps of the story automatically (under a minute) and prints a report:

```
 1. Capture            6 items to confirm
    S1   OK   3 personal expenses found
    ...
10. Evidence           47 log rows; chain OK
ALL CHECKS PASSED; summary: …/evidence/demo_summary.json
```

If any check fails it says **SOME CHECKS FAILED** and exits with an error code. It resets the demo database first, so restart the screen afterwards if it was open.

9.2 Export the evidence

```
python tasks.py evidence
```

Run it after the demo. It writes into the `evidence/` folder (about 2 minutes, because it also runs the test suite):

File	What it is
`demo_summary.json`	Every scenario check, decision counts, chain status and headline figures
`action_log.csv`	The full audit log
`chain_verification.txt`	The audit chain re-checked, with its final fingerprint
`sandbox_ops.csv`	The simulator's own independent log of every request it received
`sandbox_chain_verification.txt`	The simulator's four logs re-checked
`test_report.txt`	Summary of the automated tests
`README.md`	What each file proves

Add `--no-tests` to skip the test run: `python -m scripts.export_evidence --no-tests`.

9.3 Regenerate the documents

```
python tasks.py docs
```

Rebuilds the tier table, the compliance matrix and the third-party licence list from the code. (It also prints a note that the traceability table is not built; that is expected.)

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10. Turn on AI: local model and OpenAI

By default LoanReady uses a **mock** AI: keyword rules and fixed message templates. It needs nothing installed, costs nothing and always gives the same answers. You can switch on real AI for three jobs: suggesting categories, wording messages and explaining figures.

Even with real AI on, **the AI never decides anything**: its suggestions are checked by code, its category guesses from a local model always wait for your confirmation, and nothing it writes is sent without your approval.

10.1 The four modes

Set `LLM_BACKEND` in `.env`:

Value	What happens
`mock`	Built-in rules and templates only (default)
`ollama`	A free AI model running on your own computer, then mock if it fails
`openai`	OpenAI's service for the jobs that may use it, then mock
`hybrid`	Best of both: OpenAI writes messages and explanations, the local model suggests categories, and anything involving documents stays on your computer

10.2 A local model with Ollama (free, private)

1. Install Ollama from ollama.com and start it.
2. Download a model in a terminal:

   ```
   ollama pull phi3:mini
   ```

3. In `.env` set `LLM_BACKEND=ollama` (or `hybrid`) and `OLLAMA_MODEL=phi3:mini`.
4. Restart the screen (`Ctrl + C`, then `python tasks.py ui`).

On an ordinary laptop a local model is slow (about 10 seconds per category suggestion and over a minute per message). If messages time out, raise `OLLAMA_TIMEOUT_S` to `120`.

10.3 OpenAI (fast, costs a little)

1. **Get a key.** Sign in at platform.openai.com, open **API keys**, click **Create new secret key** and copy it (it starts with `sk-`; it is shown only once). Make sure your account has credit on the **Billing** page.
2. **Add it to** `.env`, on the line `OPENAI_API_KEY=`:

   ```
   OPENAI_API_KEY=sk-...your key...
   ```

   No quotes, no spaces, no comment on that line. `.env` is never committed or shared.
3. **See which models your key can use:**

   ```
   python -m agent.health
   ```

   The last line lists small models. Choose a plain chat model such as `gpt-4o-mini`. Avoid "reasoning" models (`gpt-5-nano`, `o4-mini`, ...) for LoanReady: they spend part of a reply on hidden reasoning and may run out before answering.

4. **Set the model and its prices** in `.env`:

   ```
   OPENAI_MODEL=gpt-4o-mini
   OPENAI_PRICE_IN_PER_MTOK=0.25
   OPENAI_PRICE_OUT_PER_MTOK=1.50
   ```

   The prices are dollars per million tokens and are used to estimate spending. Copy the real ones from OpenAI's pricing page, or keep slightly higher numbers so the estimate errs on the safe side.
5. **Set your spending limits** (LoanReady stops using OpenAI when any is reached):

   ```
   OPENAI_MAX_CALLS=300          # calls per day
   OPENAI_MAX_USD=2.00           # dollars per day
   OPENAI_TOTAL_MAX_USD=4.50     # dollars in total, ever (set below your prepaid credit)
   ```

6. **Switch it on:** `LLM_BACKEND=hybrid`.
7. **Check:** run `python -m agent.health` again. You should see `available: ['OLLAMA', 'OPENAI', 'MOCK']` (OLLAMA only if it is running), the reminder route starting with `OPENAI`, and `remote_budget` with `usd_total: 0`.
8. Restart the screen. The sidebar shows **Remote AI: on**; open **AI status** to see the routes and the budget.

How much does it cost? With `gpt-4o-mini`, a reminder or an explanation costs a small fraction of a cent (about $0.0002 at the prices above). Repeated identical questions are answered from a cache for free. Check spending at any time with `python -m agent.health` (`usd_today`, `usd_total`); OpenAI's own billing page is the final authority.

What is sent to OpenAI? Only what each job needs, with customer and supplier names replaced by placeholders and long numbers, e-mails and phone numbers removed. Bank details, documents and receipt text are never sent; that is enforced in code and tested. Every call is logged as `LLM_REMOTE_CALL` (task and model only, never the content).

If OpenAI fails (no credit, no internet, a limit reached), LoanReady quietly falls back to the local model or the templates and keeps working; the log records `LLM_FALLBACK_USED`.

---

11. Everyday tasks and settings

11.1 Start again from fresh data

1. Stop the screen (Ctrl + C).
2. Run `python tasks.py seed`.
3. Start the screen again: `python tasks.py ui`.

To wipe all runtime data (databases, generated packs, logs) first, run `python tasks.py clean`; it refuses to run while the screen or simulator is still running.

11.2 Switch accounting framework

In `.env`, set `LOANREADY_FRAMEWORK=US_GAAP` (default `IFRS_SME`) and restart the screen. Statement titles and the loan pack follow the setting.

11.3 Run the bank simulator as a separate service

To show the bank as an independent system (for example for a video):

1. Stop the screen. In `.env` set `SANDBOX_MODE=external`.
2. Terminal 1: `python tasks.py sandbox`. Open http://127.0.0.1:8100/docs to see the bank's API.
3. Terminal 2: `python tasks.py ui`.

Never run an external simulator and a normal (`inprocess`) screen on the same data at the same time. Set `SANDBOX_MODE=inprocess` again when you are done.

11.4 Change limits

Use **Log and security → Edit limits (owner only)**, or set the `CAP_…` values in `.env` (amounts in cents, for example `CAP_PER_DAY_CENTS=1000000` for $10,000.00).

11.5 Work as the bookkeeper

Choose **Bookkeeper** in **Acting as**. A bookkeeper can confirm items, draft messages, propose payments and approve messages and the loan-pack submission, but cannot approve payments, change limits or use the kill switch. Switch back to **Owner** to approve payments.

11.6 Try the screen with canned data only

`LOANREADY_UI_FAKE=1 python tasks.py ui` (Windows PowerShell: `$env:LOANREADY_UI_FAKE="1"; python tasks.py ui`) runs the screen on built-in sample data without the real engine. The sidebar then shows a yellow *Demo data* warning.

---

12. Command reference

Type each command in the project folder. On Windows, `py -3.12 tasks.py …` works the same as `python tasks.py …`.

Command	What it does	Time
`python tasks.py setup`	Create `.venv` and install the exact packages (first time)	2-5 min
`python tasks.py doctor`	Check Python, packages, files and disk	seconds
`python tasks.py gen`	Generate Rina's Bakery's data	~10 s
`python tasks.py seed`	Load the data into the simulator and the books (generates it if missing)	~25 s
`python tasks.py ui`	Start the screen at http://127.0.0.1:8501	—
`python tasks.py run`	Seed if needed, then start the screen	—
`python tasks.py demo`	Play the whole story headlessly and check S1-S10	< 1 min
`python tasks.py evidence`	Export logs, chain checks and the test report to `evidence/`	~2 min
`python tasks.py docs`	Regenerate the tier table, compliance matrix and licence list	seconds
`python tasks.py test`	Run the automated tests (`--all` adds slow ones; `test books` runs one package)	~2 min
`python tasks.py lint`	Code style and import-rule checks	seconds
`python tasks.py integrate`	The full integration check (layers, static rules, every package's tests)	~3 min
`python tasks.py sandbox`	Run the simulator as a separate server on port 8100	—
`python tasks.py clean`	Delete runtime data in `var/` (refuses while running)	seconds
`python -m agent.health`	Show AI mode, available backends, routes and OpenAI budget	seconds

---

13. Troubleshooting

13.1 Installation and start-up

Problem	Fix
`py` or `python3.12` not found	Install Python 3.12 (Windows: tick *Add python.exe to PATH*), open a new terminal
`doctor` says *Python version* is wrong	Use Python 3.12 exactly: `py -3.12 tasks.py setup`
`doctor` says *lock mismatch* or extra packages	Someone installed packages by hand. Delete the `.venv` folder and run `setup` again
`doctor` says *manifest mismatch*	A protected file was changed. Restore it from the original copy
Windows: the terminal crashes printing `doctor`	Run `$env:PYTHONIOENCODING="utf-8"` first, then `doctor`
Windows: "database is locked" or files cannot be deleted	Move the project out of OneDrive to a short path like `C:\dev\loanready`; stop the screen before `clean`
`Port 8501 is not available`	LoanReady is already running in another terminal: use that one, or stop it with Ctrl + C
The browser shows nothing	Wait 10-20 s on the first start; make sure the address is `http://127.0.0.1:8501`

Problem	Fix
Streamlit asks for an e-mail in the terminal	Press Enter

13.2 Using the screen

Problem	Fix
The page is grey and does nothing	It is recalculating; wait 5-10 s
Numbers look wrong or old after `seed` or `demo`	Restart the screen (Ctrl + C, `python tasks.py ui`)
Tiles show "..." instead of full numbers	The browser window is narrow; widen it or zoom out
The confirm-queue card did not go away	Wait for the page to finish; click only once
No pack generated in this session yet after changing page	You reloaded the browser address; use the sidebar to move between pages, or generate the pack again
The approve button is greyed out	You are acting as Bookkeeper on a payment, or the kill switch is on
The approval expired	Approvals last 15 minutes; propose again
A new receipt photo is not read	This version reads the demo receipts' text files only; confirm or reject the receipt manually

13.3 What a message means

These are the plain-language messages LoanReady shows when it refuses or cannot do something, with the code you will see in the log:

Message (short)	Code	What to do
The kill switch is on, so nothing can be sent or paid	`KILL_SWITCH`	Owner: turn it off on Log and security
This kind of action is never allowed in LoanReady	`BLOCKED_TYPE`	Nothing; it is a safety rule
The request came from text inside a document or message	`UNTRUSTED_ORIGIN`	Nothing; document text can never start an action
The person you are acting as may not do this	`ROLE_NOT_ALLOWED`	Switch **Acting as** to Owner
Some details are missing or invalid	`INVALID_PARAMS`	Check the form fields
We could not find that record	`UNKNOWN_ENTITY`	Check the bill or invoice id
This payee has never been paid before and is not pre-registered	`NEW_PAYEE`	Payments go only to known payees
The bill asks for payment to a different bank account than the one on file	`ACCOUNT_CHANGED`	Do not pay; call the supplier on a known number
The amount is more than what is still owed	`AMOUNT_EXCEEDS_OUTSTANDING`	Nothing; LoanReady pays the amount owed
The invoice is not overdue yet	`NOT_OVERDUE`	Reminders are for overdue invoices only
The message changed after it was drafted	`DRAFT_MISMATCH`	Draft it again

Message (short)	Code	What to do
The loan pack changed after it was generated	`PACK_HASH_MISMATCH`	Generate the pack again
The amount is above the per-action limit	`CAP_PER_ACTION`	Owner: raise the limit, or pay in parts
This would go over today's payment limit	`CAP_PER_DAY`	Wait until tomorrow, or owner raises the limit
This would go over the weekly limit for this payee	`CAP_PER_PAYEE_WEEK`	Wait, or owner raises the limit
This customer already got the maximum number of messages this week	`CAP_MSGS_PER_CUSTOMER`	Wait until next week
A reminder was sent to this customer too recently	`RATE_LIMIT_REMINDER`	Wait 7 days between reminders
The approval expired	`APPROVAL_EXPIRED`	Propose again
That approval was already used	`APPROVAL_REPLAY`	Propose again
The details changed after approval	`APPROVAL_PARAMS_CHANGED`	Propose again and review the new details
You cannot approve your own proposal	`SELF_APPROVAL_FORBIDDEN`	Another person must approve
The bank's own limit was exceeded	`BANK_LIMIT_EXCEEDED`	The simulator's bank refused; pay less
Too many requests; try again in a minute	`RATE_LIMITED`	Wait a minute
Not enough money in the account	`INSUFFICIENT_FUNDS`	Nothing to fix; the simulated account is short
The sandbox service returned an error	`SANDBOX_ERROR`	Restart the screen; with an external simulator, check it is running
This data may not be sent to a remote AI service	`REMOTE_NOT_ALLOWED`	Nothing; the privacy rule worked and a local answer was used

13.4 AI problems

Problem	Fix
Sidebar says **Remote AI: off** after adding a key	`OPENAI_MODEL` is empty or `LLM_BACKEND` is not `openai` / `hybrid`; restart the screen after editing `.env`
`agent.health` says *cannot list models (AuthenticationError)*	The key was pasted wrong; paste it again
OPENAI missing from `available`	No model set, or a spending limit is reached (see `remote_budget`)
Messages are always the standard template	The AI's wording failed LoanReady's check, the AI was unavailable, or you are in `mock` mode; that is safe behaviour
Category suggestions from the local model always ask for confirmation	By design: local-model guesses are suggestions only
Everything is slow with Ollama	Normal on a laptop; use `hybrid` with OpenAI for messages, or a smaller model

14. Frequently asked questions

Is any of this real money or a real bank? No. Everything goes to the built-in simulator, and every name, account and amount is made up.

Can the AI pay someone or send a message by itself? No. The AI can only suggest a category, word a message from facts LoanReady gives it, or explain figures. Every payment, message and submission needs your approval in the dialog, and some actions (accepting a loan, paying a new payee, changing a payee's bank account, editing the log) can never happen at all.

What stops a fake invoice from being paid? LoanReady pays only the account it already has on file for that supplier. If a bill asks for a different account, it is blocked, and the simulated bank checks the account again on its side.

What happens to text that tries to trick the AI? It is treated as data, never as an instruction. It is shown to you in grey boxes and logged, and it can never start or change an action.

Can someone change the log afterwards? Each row contains a fingerprint of the previous row, so changing anything breaks every later fingerprint. **Verify chain** detects it. There is no way in LoanReady to edit or delete log rows.

Why is the merchant cash advance so expensive when the factor is only 1.20? A factor of 1.20 means paying back 20% more, however quickly you repay. Repaid in about six weeks from card sales, that 20% is equivalent to well over 1,000% a year. LoanReady shows this as the EAR.

Is the readiness score a credit score? No. It is a self-assessment from the business's own books to help prepare an application. It uses no personal information.

Why does the date never change? LoanReady works "as of" 14 October 2026 so the demo story is the same every time.

Do I need internet? Only to install, and for OpenAI if you choose to use it.

Where is my data stored? In the `var/` folder inside the project: `app.db` (the books and the log), `sbx_*.db` (the simulator), `llm_cache.db` (AI answers and spending), `packs/` (loan-pack PDFs).

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15. Glossary

Term	Meaning
AS_OF	The business date LoanReady works from (14 October 2026)
POS	Point of sale: the till that records each sale
Books / journal	The accounting records; every entry has equal debits and credits
P&L	Profit and loss statement: income minus costs
Balance sheet	What the business owns and owes on a date
Cash-flow statement	Where cash came from and went
Reconciliation	Checking that the books agree with the bank
Receivables	Money customers owe the business
Confirm queue	Questions LoanReady needs the owner to answer
Forecast cases	Low (cautious), base (most likely) and high (optimistic)
Cash gap	The amount of cash needed to stay above zero
COLLECT / DELAY / BORROW	The three ways to close a gap, from cheapest to most expensive
APR	Yearly rate without compounding (daily cost × 365)
EAR	Effective yearly rate including compounding; the fair way to compare credit
Factor rate	The way merchant cash advances are priced: repay factor × amount
Readiness score	A 0-100 self-assessment of how ready the business looks to a lender
Loan pack	The PDF application LoanReady prepares
Tier 1 / Tier 2	Draft only / needs your approval before anything leaves LoanReady
Approval dialog	The window where you check and approve a Tier 2 action
Kill switch	Emergency stop for all sends and payments
Audit log / hash chain	The tamper-evident record of every decision
Sandbox / simulator	The built-in pretend bank, till, messaging service and lender
Mock AI	LoanReady's built-in, rule-based stand-in for an AI model
Ollama	Free software for running an AI model on your own computer
`.env`	The settings file in the project folder

More detail on how everything works: Technical documentation.
Security analysis: Security self-assessment.